

Q3 2026 Databricks: Reading the \$188 Billion Term Sheet

A signed bid 40% above the last mark, and the accelerating engine underneath it

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Valuation per AIBQ point across the frontier cohort, with Databricks shown at both its completed \$134 billion mark and the announced \$188 billion term sheet.

Databricks signs at \$188 billion, and the quality math survives the re-rate

Databricks' rumored round resolved upward into a signed, Coatue-led term sheet at \$188 billion, 40% above February's completed mark, with the close expected later this summer. The operating ladder beneath the bid is still accelerating at \$7 billion scale, and even at the higher price the company remains the cohort's cheapest asset per unit of business quality.

Report picks

Databricks: Brick by Brick (July 2026 initiation)

Databricks Company Update: The Appraisal Moves (August 2026)

Key takeaways

- **Databricks signed at \$188 billion, and the money is not in hand.** The July 17 term sheet for a strategic round is led by existing investor Coatue; press reports place the size near \$3 billion, and the company expects the close later this summer (company announcement, July 17, 2026).

- **The bid resolves the July rumor upward.** It lands 40% above the \$134 billion completed February mark and \$13 billion above the top of the previously reported \$165 to 175 billion range; until funds settle, the completed mark still anchors valuation work (PitchBook financing note, August 7, 2026).
- **The bid moved; the business did not.** The last print remains \$6.9 billion of annualized revenue growing +80% YoY, the fourth consecutive accelerating disclosure, with gross margin at 74% and guided lower (company disclosure, June 16, 2026).
- **Both marks stay on the cohort floor.** At \$188 billion the run-rate multiple is 27.2x versus 19.4x at the completed mark, and the quality-adjusted price remains the cohort's cheapest at either level; the round close and the September to October disclosure window decide which number holds (derived).

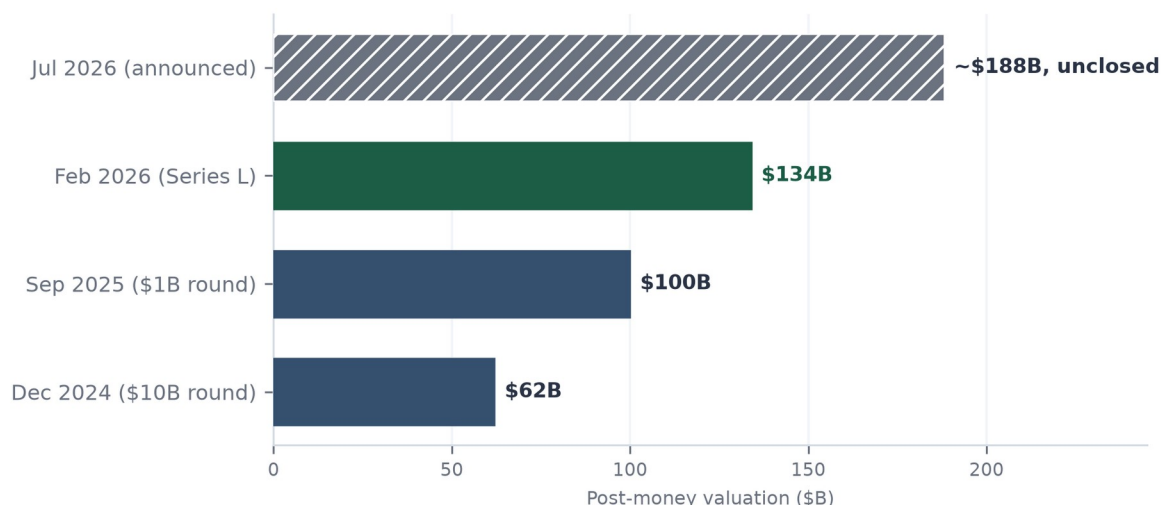
The term sheet: signed at \$188 billion, unclosed

Databricks announced on July 17 that it has signed a term sheet for a strategic funding round at a \$188 billion post-money valuation, led by existing investor Coatue with participation from new and existing backers (company announcement, July 17, 2026). The company did not disclose the size; press reports place it near \$3 billion. The money is not in hand: the close is expected later this summer, and the deal record carries the round as announced and in progress, the thirteenth equity round (PitchBook financing note, August 7, 2026).

The signed price resolves the July talks upward: \$13 billion above the top of the reported \$165 to 175 billion range and 40% above the \$134 billion completed mark set in February (derived). Under the standing rule that unclosed financings never anchor a base case, \$134 billion remains the working mark until funds settle, and the term sheet is treated as the market's confirmed forward bid. A round near \$3 billion against February's \$7.0 billion raise reads as balance-sheet building on the company's own schedule rather than operational need; the company has said the capital goes to AI capabilities including Genie, Unity AI Gateway, and Lakebase (company announcement via press reports, July 17, 2026).

Three completed marks and a signed bid: \$62B to \$188B in nineteen months

Post-money valuations. Completed marks solid (company disclosures; PitchBook deal records); the July 17, 2026 term sheet hatched: announced at \$188B, led by Coatue, expected to close later this summer, not adopted until funds settle.



Post-money marks, December 2024 to July 2026. Completed marks solid; the July 17, 2026 term sheet hatched: announced at \$188B, unclosed, not adopted until funds settle.

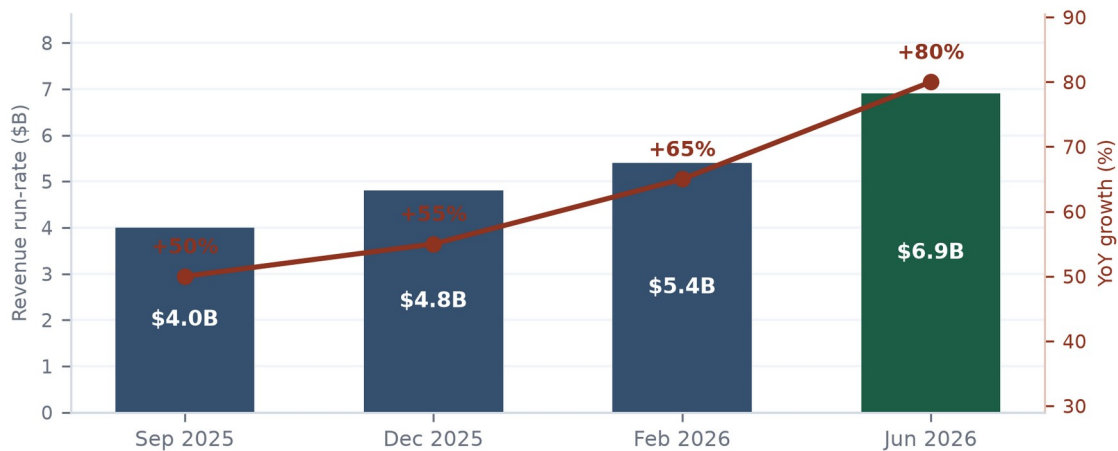
The engine under the bid: four accelerating prints

Nothing in the operating record moved with the announcement. The last dated print is \$6.9 billion of annualized revenue growing +80% YoY (company disclosure, June 16, 2026), the fourth consecutive accelerating print in a ladder that runs \$4.0 billion, \$4.8 billion, \$5.4 billion, \$6.9 billion across ten months of dated disclosures. Gross margin stands at 74%, down from above 80% and guided lower on agent-driven compute; free cash flow remains positive on trailing and fiscal 2025 bases with no newer print (company, February 9, 2026). Headcount stands at 9,000 (PitchBook, June 9, 2026).

The next scheduled read is the September to October disclosure window, and it carries three tests at once: the run-rate against the June level, the gross margin against the 70% efficiency floor where the cushion is four points, and the refresh of February-vintage operating metrics, retention above 140% and more than 20,000 organizations among them. Until that window, those metrics are cited only with their February dates visible.

The bid moved; the engine was already accelerating

Annualized revenue run-rate (bars, left) and year-over-year growth (line, right), company disclosures Sep 2025 to Jun 2026. No new print since June 16; the announced \$188B re-prices this same ladder at 27.2x versus 19.4x at the completed mark.



Annualized revenue run-rate (bars) and year-over-year growth (line), company disclosures September 2025 to June 2026. No new print since June 16.

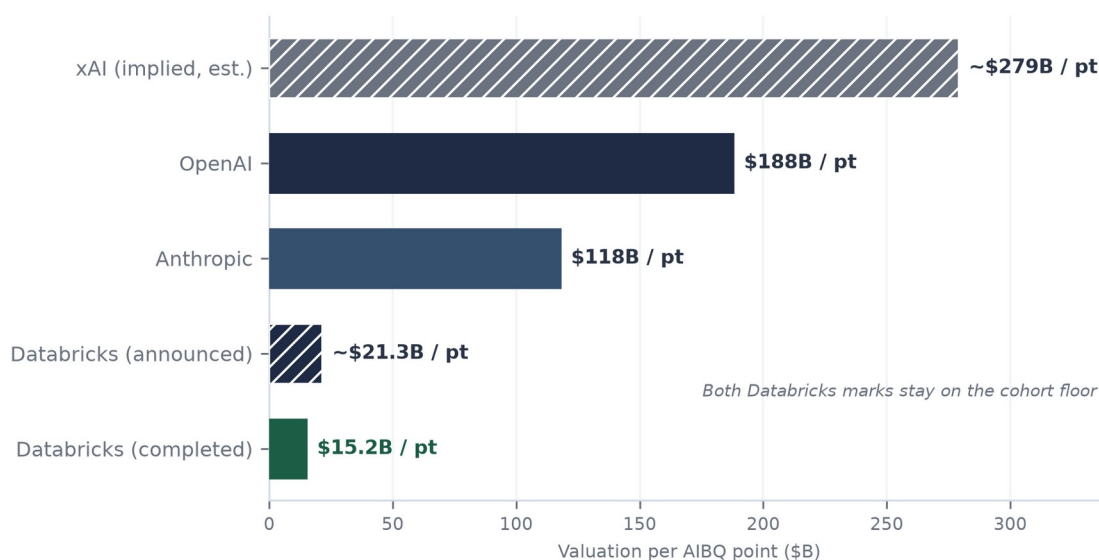
Pricing the quality: both marks stay on the cohort floor

At the completed mark the run-rate multiple is 19.4x; at the announced mark it is 27.2x on the identical June print (derived). Growth adjustment keeps the comparison favorable at either level: 27.2x against +80% growth prices each point of growth at 0.34x, versus roughly 0.49x for the closest listed comparable trading near 15.3x its guided +31% forward product revenue (comparable company 8-K, May 27, 2026; derived).

On the desk's quality framework, the announced price pays roughly \$21.3 billion per point of business quality against \$15.2 billion at the completed mark (est., derived); the cohort's next-cheapest asset pays about \$118 billion per point, the top of the ladder near \$188 billion, and the listed parent's implied AI segment about \$279 billion (est.). Even granting the full re-rate, the buyer pays roughly a fifth of the cohort's next-cheapest quality-adjusted price. The watch list into the fall: the close itself, expected before the end of summer; the September to October print, where a gross margin below 70% would force a quality re-score regardless of the round; and the registry, where no S-1 was on file at the last verification (SEC EDGAR, July 10, 2026).

The buyer still pays the least per unit of quality, at either mark

Valuation per AIBQ point, August 10, 2026. Databricks \$134B completed / ~\$188B announced on 8.81; Anthropic \$965B on 8.20; OpenAI \$852B on 4.53; xAI ~\$1.25T implied inside its listed parent (est.) on 4.49. SSI excluded (pre-revenue).



Valuation per AIBQ point, August 10, 2026. Databricks shown at completed and announced marks; xAI implied inside its listed parent (est.); SSI excluded (pre-revenue).

References

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